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CCS (GPF) RULES, 1961

General Provident Fund (Central Services) Rules, 1960

Rule 1. Short Title and Commencement

These rules may be called the General Provident Fund (Central Services) Rules, 1960. They came into force on the **1st April, 1960**.

Rule 2. Definitions

In these rules, unless the context otherwise requires:

- **(a) Accounts Officer:** Means the officer to whom the duty to maintain the Provident Fund Account of the subscriber has been assigned by Government.
- **(b) Emoluments:** Basic Pay, Leave salary, or subsistence grant as defined in the Fundamental Rules.
- **(c) Family:** Means the family of the subscriber.
    - **In the case of a male subscriber:** The wife or wives, parents, children, minor brothers, unmarried sisters, deceased son's widow and children and where no parents of the subscriber are alive, a paternal grandparent.
    - **In the case of a female subscriber:** The husband, parents, children, minor brothers, unmarried sisters, deceased son's widow and children and where no parents of the subscriber are alive, a paternal grandparent.
- **(d) Fund:** The General Provident Fund.
- **(e) Year:** Means the **Financial Year**.
- **(f) Leave:** Means any variety of leave recognized by the Fundamental Rules.

Rule 3. Constitution of the Fund

1. The Fund shall be maintained in **Rupees**.
2. The Government Account Name shall be "General Provident Fund".

Rule 4. Conditions of Eligibility

1. All **temporary Government servants** after a continuous service of **one year**, all re-employed pensioners (other than those eligible for admission to the Contributory Provident Fund), and all **permanent Government servants** shall subscribe to the Fund.
2. **Exclusion:** These rules shall **not** apply to Government servants appointed on or after the **1st day of January, 2004**.

 LEGISLATIVE NOTE: Employees appointed on or after **01.01.2004** are covered under the National Pension System (NPS), except where specific orders allow coverage under Old Pension Scheme (OPS) due to administrative delays in recruitment (vide O.M. No. 57/05/2021-P&PW(B) dated **03.03.2023**).

3. **Apprentices and Probationers** shall be treated as temporary Government servants for the purpose of this rule.
4. A temporary Government servant who completes **one year** of continuous service during the middle of a month shall subscribe to the Fund from the **subsequent month**.
5. Temporary Government servants (including Apprentices and Probationers) who have been appointed against regular vacancies and are likely to continue for more than **a year** may subscribe to the General Provident Fund any time before completion of **one year's** service.
6. Further **one year's** service is not necessary if a temporary Government servant is transferred to Government service from corporate Bodies (owned or controlled by Govt.), State Government, or another Department to subscribe to the GPF, provided they have completed **one year's** service under that body or State Govt.

Rule 5. Nominations

1. A subscriber shall, at the time of joining the Fund, send to the **Accounts Officer** through the Head of Office a nomination conferring on one or more persons the right to receive the amount that may stand to his credit in the Fund in the event of his death.
2. If a subscriber is a **minor**, he shall be required to make the nomination only on his attaining the **age of majority**.
3. A subscriber who has a **family** at the time of making the nomination shall make such nomination **only** in favor of a member or members of his family.
4. If a subscriber nominates more than one person, he shall specify in the nomination the **amount or share** payable to each of the nominees.
5. A subscriber may at any time cancel a nomination by sending a notice in writing to the Accounts Officer and exercising a fresh nomination.
6. Every nomination made, and every notice of cancellation given by a subscriber shall, to the extent that it is valid, take effect on the **date on which it is received** by the Accounts Officer.
7. Nomination made while in service can be changed even after retirement so long as the amount remains unpaid.
8. A nominee facing trial for the murder of the Govt. Servant may be denied payment till the Court's decision.

9. Nomination of a subscriber is held valid even if he dies before it reaches the Accounts Officer.

Rule 6. Subscriber's Account

An account shall be opened in the name of the Subscriber in which the following shall be shown:

- (i) Subscription.
- (ii) Interest.
- (iii) Bonus.
- (iv) Advances and withdrawals from the fund.

Rule 7. Conditions of Subscriptions

1. A subscriber shall subscribe **monthly** to the Fund except during the period when he is under **suspension**.
2. A subscriber may, at his option, **not subscribe** during leave which either does not carry any leave salary or carries leave salary equal to or less than **half pay** or **half average pay**.
3. A subscriber on reinstatement after a period passed under suspension shall be allowed the option of paying in **one lump sum**, or in installments, any sum not exceeding the maximum amount of arrear subscriptions payable for that period.
4. Group 'C' and Group 'D' employees of the Survey of India who are sent on departmental leave need not subscribe to the Fund during the period of such leave.
5. The holder of a **seasonal post** in an establishment need not subscribe to the Fund during the period of his unemployment.
6. A subscriber need not subscribe during a period treated as **dies non**.
7. Subscription is to be **compulsorily discontinued** during the last **3 months** of service on superannuation.

Rule 8. Rate of Subscription

1. The amount of subscription shall be fixed by the subscriber himself, subject to the following conditions:
    - (a) It shall be expressed in **whole rupees**.
    - (b) It may be any sum, so expressed, not less than **6 per cent** of his emoluments and not more than his **total emoluments**.

- (c) **Statutory Ceiling:** The subscription is subject to a maximum of Rs. 5 Lakhs in a financial year from **2022-2023** onwards.

 LEGISLATIVE NOTE: The ceiling of **Rs. 5 Lakhs** per annum was introduced vide Notification No. G.S.R. 455(E) dated **15.06.2022** and clarified via O.M. No. 3/6/2021-P&PW (F) dated **11.10.2022** to align with Income Tax rules regarding tax-free interest.

2. **The emoluments of a subscriber shall be:**
   - (a) If the subscriber was in Govt. service on the **31st March** of the preceding year, the emoluments to which he was entitled on that date.
   - (b) If the subscriber was **not** in Govt. service on the **31st March** of the preceding year, the emoluments to which he was entitled on the day he joins the fund.
3. **Variation of Subscription:** The amount of subscription so fixed may be:
   - (a) **Reduced once** at any time during the course of the year.
   - (b) **Enhanced twice** during the course of the year.

Rule 9. Transfer to Foreign Service or Deputation out of India

When a subscriber is transferred to foreign service or sent on deputation out of India, he shall remain subject to the rules of the Fund in the same manner as if he were not so transferred or sent on deputation.

Rule 10. Realization of Subscription

1. When a subscriber draws his emoluments on the **last working day** of the month, the subscription is accounted for on the **1st day** of the following month.
2. **Example:** If the subscription is deducted from the Salary of Aug. 2023, it will be accounted for in the GPF account on the **1st Sept. 2023**.
3. If the salary of any month was not drawn due to the negligence of the Department, the subscription is deemed to be accounted for on the **1st day** of the following month from the month in which salary was due, and interest is also paid from the **1st day** of that month.

Rule 11. Interest

1. The Government declares the interest rate on a **quarterly basis** on the General Provident Fund and other similar funds, calculated **compounded annually**. The Interest shall be credited in the GPF account on the **last day** of each year.

 LEGISLATIVE NOTE: The interest rate is notified quarterly by the Ministry of Finance. For the quarter ending **31st March 2025**, the rate is **7.1%**.

2. The total amount of interest shall be **rounded to the nearest whole rupee** (fifty paise counting as the next higher rupee).
3. Where the emoluments for a month are drawn and disbursed on the **last working day** of the same month, the date of deposit shall, in the case of recovery of his subscriptions, be deemed to be the **1st day** of the succeeding month.
4. Where there has been a delay in the drawl of pay or leave salary and allowances of a subscriber and consequently in the recovery of his subscription towards the Fund, the interest on such subscriptions shall be payable from the month in which the pay or leave salary of the subscriber was **due** under the rules, irrespective of the month in which it was actually drawn.
5. In case a subscriber is found to have drawn from the Fund an amount in **excess** of the amount standing to his credit on the date of drawl, the recovery will be made with interest of **2.5% above** the GPF rate of Interest.

Govt. Decisions:

- (a) In respect of persons found **absconding**, interest is to be allowed up to **6 months** from the date of the report from the police that the employee has not been traced.
- (b) When a subscriber retires on **superannuation**, the period of **six months** for allowing interest excludes the immediate succeeding month.
  - *Example:* If **31st May** is the last working day, exclude June; the interest will be paid from **July to Dec**.
- (c) Payment orders issued after the **15th of the month** are to be made payable the **next month**, and full interest is allowed for the month in which the order is issued.

Rule 12. Advances from the Fund

1. The limit of advance is up to **12 months' Basic Pay** or **three-fourths (3/4)** of the amount standing to his credit in the Fund, whichever is **less**, for one or more of the following purposes:
   - (i) **Illness** of self, family member, or dependents.
   - (ii) **Education** of family members or dependents of the subscriber. Education will include primary, secondary, and higher education covering all streams and educational institutions.
   - (iii) **Obligatory expenses**, viz. betrothal, marriage, funerals, or other ceremonies.

- (iv) Cost of **legal proceedings**.
- (v) Cost of **defense**.
- (vi) Purchase of **consumer durables**.
- (vii) **Pilgrimage** and visiting places of eminence. This will include any travel and tourism-related activities.

2. The advance amount is sanctioned by the **Head of Office**.
3. The **Head of Department** may sanction an advance from the fund for reasons other than the above-mentioned reasons if he is satisfied with the special circumstances.

Notes on Advances:

- (i) In all cases of advance, **no documentary proof** is required. A simple declaration by the subscriber explaining the reasons for the advance would be sufficient.
- (ii) **Time Limits:**
  - Normal conditions: Maximum time limit for sanction of Advance = **15 Days**.
  - In case of emergencies like illness: The time limit may be restricted = **7 Days**.
- (iii) During the period of a Central Govt. employee's deputation on foreign service, the competent authority in his **parent department only** can sanction advances/withdrawals to him from his GPF account.
- (iv) **No temporary advance** is to be sanctioned during the last **three months** of service.
- (v) A subscriber shall be permitted to take an advance **once in every six months** for the education of family and dependents.

Rule 13. Recovery of Advances

1. Recovery commences from the **following month** in which the advance was drawn.
2. An advance shall be recovered in not more than **60 installments**.

 LEGISLATIVE NOTE: The maximum number of installments was enhanced to **60** vide DoPPW O.M. dated **20.10.2023** (previously 36).

3. **Consent is necessary** in case the Subscriber is in receipt of a subsistence grant or on leave for **10 days** in a calendar month and does not carry any leave salary or carries leave salary equal to **half pay**. The recovery will be postponed on the subscriber's **written request**.

Rule 14. Wrongful Use of Advance

1. If the sanctioning authority has reason to doubt that money drawn as an advance from the Fund has been utilized for a purpose **other than that** for which sanction was given, the sanctioning authority shall give a **reasonable opportunity** to explain the reason within **15 days** from the receipt of communication.

2. If the sanctioning authority is **not satisfied** with the explanation furnished by the subscriber within the said period of fifteen days, the sanctioning authority shall direct the subscriber to **repay the amount**, ordering the amount to be recovered by deduction in **one sum** (if not more than **50% of emoluments**) from salary or in monthly installments.

Rule 15. Withdrawals from the Fund

1. **Eligibility:** After completion of **10 years' service** or within **10 years** before the date of retirement on superannuation, whichever is earlier.

2. **General Limit:** Permit to withdraw up to **12 months' pay** or **three-fourths (3/4)** of the amount standing at credit, whichever is **less**.

3. **Illness:** For illness, the withdrawal may be allowed up to **90%** of the amount standing at the credit of the subscriber.

4. **Purposes for Withdrawal:**

   - (i) **Education:** This will include primary, secondary, and Higher education, covering all streams and institutions.
   - (ii) **Obligatory expenses:** Viz. betrothal, marriage, funerals, or other ceremonies of self or family members and dependents.
   - (iii) **Illness:** Of self, family members, or dependents (up to **90%** of standing credit).
   - (iv) Purchase of **consumer durables**.

5. **Housing Withdrawal (Up to 90%):** Withdrawal up to **90%** of the amount standing at credit is allowed for the below purposes:

   - (v) **Housing:** Including building or acquiring a suitable house or a ready-built flat for his residence.
   - (vi) Repayment of **outstanding housing loan**.
   - (vii) Purchase of **house site** for building a house.
   - (viii) **Constructing a house** on a site acquired.

  - (ix) **Reconstructing** or making additions to a house already acquired.
  - (x) **Renovating**, additions, or alterations of an ancestral house.

6. **Vehicle Withdrawal:** Permitted to withdraw **three-fourths (3/4)** of the amount standing at credit or the **Cost of Vehicle**, whichever is **less**, for the below purposes:
   - (xi) Purchase of **motor Car/motorcycle/scooter**, etc., or repayment of a loan already taken for the purpose.
   - (xii) Extensive **repairs/overhauling** of a motor car.
   - (xiii) Making a **deposit** to book a car/motorcycle/scooter, moped, etc.
7. **Pre-Retirement Withdrawal:** A subscriber can withdraw up to **90%** of the amount standing to the credit in the Fund within **2 years** before the date of retirement on superannuation, **without linking to any purpose** (No reason required).

LEGISLATIVE NOTE: The period was enhanced from "1 year" to "**2 years**" vide DoPPW Notification dated **07.03.2017** and reiterated in O.M. dated **20.10.2023**.

8. **Group Insurance:** Once during the course of a financial year, an amount equivalent to **one year's subscription** paid for by the subscriber towards the **Group Insurance Scheme** for the Central Government employees on a self-financing and contributory basis.
9. **Procedure:**
   - No **documentary proof** will be required to be furnished by the subscriber. A **simple declaration** by the subscriber explaining the reasons for withdrawal would be sufficient.
   - Only **one withdrawal** shall be allowed for the **same purpose**. However, the marriage or education of **different children**, or illness on **different occasions**, or alteration to a house or further addition to a flat shall **not** be treated as the same purpose.
   - Withdrawal for the education of children is allowed on an **annual basis**.
   - **Time Limit:** Normal conditions = **15 Days**. In case of emergencies like illness = **7 Days**.

Rule 16. Conditions of Withdrawal

1. Any sum withdrawn by a subscriber at any one time for one or more of the purposes specified in Rule 15 from the amount standing to his credit shall be subject to the limits specified (Max **12 months' pay** or **3/4th** generally; **90%** for Housing/Illness).
2. An **advance** and a **final withdrawal** for the **same purpose** should **not** be sanctioned together.

3. Withdrawal is **not** to be sanctioned for more than **one house**.

Rule 16-A. Conversion of an Advance into a Withdrawal

A subscriber who has already drawn or may draw in the future an **advance** for any of the purposes may convert, at his discretion by written request addressed to the Accounts Officer through the sanctioning authority, the balance outstanding into a **final withdrawal** (subject to eligibility conditions).

Rule 31. Final Withdrawal of Accumulations in the Fund

1. When a subscriber **quits the service**, the amount standing to his credit in the Fund shall become payable to him.
2. Recovery of Govt. Dues and final payment of GPF are **not to be mixed up**.
3. Amount **misappropriated** is **not adjustable** from GPF.

Rule 32. Retirement of Subscriber

When a subscriber retires from service on **superannuation/VRS**, is declared **unfit** by authority, or proceeds on **LPR** (Leave Preparatory to Retirement), the amount standing to his credit in the fund shall be payable to the subscriber.

- **Note:** Production of **no-demand certificates** is **not necessary** for making the final payment of the Provident Fund balance.

Rule 33. Procedure on Death of a Subscriber

1. **When the subscriber leaves a family:**
    - (a) If a **nomination** exists in favor of a family member, the amount shall become payable to the **nominee(s)** in the proportion specified.
    - (b) If **no nomination** exists in favor of a family member, or if the nomination relates only to a part of the amount, the whole amount (or the part not covered) shall become payable to the **members of his family in equal shares**.
    - **Exclusions:** No share shall be payable to:
        1. Sons who have attained **majority**.
        2. Sons of a deceased son who have attained **majority**.
        3. Married daughters whose **husbands are alive**.
        4. Married daughters of a deceased son whose **husbands are alive**.

- **Exception:** The **widow(s)** and the **child(ren)** of a deceased son shall receive between them in **equal parts** only the share which that son would have received if he had survived the subscriber.

2. **When the subscriber leaves NO family:**

- If a nomination exists in favor of any person or persons, the amount shall become payable to the **nominee(s)**.

Notes on Death Claims:

- (i) Disbursement of Provident fund moneys to persons on behalf of **minors** is allowed up to **Rs. 10,000** where the amount standing in the account is greater than Rs. 10,000.
- (ii) A subscriber's **posthumous child** is treated as a member of his family in the same way as a surviving child born before the subscriber's death.
- (iii) **Missing Official:** The payment of GPF when the whereabouts of the official are not known will be paid after the elapse of a period of **one year** (following the police report).
- (iv) Payment is **not to be made** to a nominee facing trial for the **murder** of the Govt. servant.

Rule 33-B. Deposit-Linked Insurance Revised Scheme (GPF-DLIS)

On the death of a subscriber, the person entitled to receive the amount standing to the credit shall be paid an **additional amount** equal to the **average balance** in the account during the **3 years** immediately preceding the death of such subscriber, subject to the following conditions:

1. **Conditions:**

- (a) The balance at the credit of such subscriber shall not at any time during the **3 years** preceding the month of death have fallen below the limits prescribed.
- (b) The subscriber has put in at least **5 years' service** at the time of his/her death.

2. **Balance Limits (Aligned with 7th CPC Levels):**

Balance Limit	Pay Level (7th CPC Equivalent)
Rs. 25,000/-	Level **8** and above
Rs. 15,000/-	Level **6** to **7**
Rs. 10,000/-	Level **1** to **5**
Rs. 6,000/-	Below Level 1

 LEGISLATIVE NOTE: The table in the source material utilizes 6th CPC Grade Pays (e.g., GP 4800, GP 4200). These have been mapped to the corresponding **7th CPC Pay Levels** above for current applicability.

3. **Maximum Benefit:** The additional amount payable under this rule shall **not exceed Rs. 60,000/-**.

 LEGISLATIVE NOTE: While the CGEGIS insurance cover is higher, the **GPF Deposit-Linked Insurance** limit remains **Rs. 60,000** as per Notification No. G.S.R. 96 dated 30.01.1989 and subsequent consolidations.

4. **Additional Notes:**
   - A Govt. Servant is treated as a subscriber even during the last **three months** of his service when the subscription has been discontinued.
   - Benefit of the Deposit-Linked Insurance Scheme to the successor of an **untraceable** subscriber is to be made only after a lapse of **7 years**.
   - Benefits are admissible even in **suicide cases**.

Rule 34. Manner of Payment of Amount in the Fund

1. When the amount standing to the credit of a subscriber in the Fund becomes payable, it shall be the duty of the **Accounts Officer** to make payment.
2. Payments of the amount withdrawn shall be made in **India only**.
3. **Authority for Interest Payment Delay:**
   - (a) **Head of Accounts Office:** Up to a period of **one year**.
   - (b) **Immediate Superior** to the Head of Accounts Office (Controller of Accounts or Financial Adviser): Beyond **1 year** to any period.

Rule 35. Procedure on Transfer

If a government servant who is a subscriber to any other non-Contributory Provident Fund of the Central/State Government is **permanently transferred** to pensionable service in a Department of the Central Government, the amount of subscriptions, together with interest thereon, shall be **transferred** to his credit in the Fund.

Rule 35-A. Procedure on transfer from a **Body Corporate** owned/controlled by Government or an autonomous organization (registered under Societies Registration Act, 1860): The amount of subscriptions and employer's contribution (if any) + interest shall be transferred to the Fund with the **consent** of that body.

Rule 36. Transfer to Contributory Provident Fund (India)

If a subscriber is subsequently admitted to the benefits of the **Contributory Provident Fund (India)**, the amount of his subscriptions + interest shall be transferred to the credit of his account in the CPF (India).

Rule 38. Number of Account

When paying a subscription in India, a subscriber shall quote the **number of his account** (Account No.) in the Fund. Any change in the number shall be communicated to the subscriber by the Accounts Officer.

Rule 39. Annual Statement of Accounts

1. As soon as possible after the **31st March** of each year, the Accounts Officer shall send to each subscriber a **Statement of his Account** showing the opening balance (1st April), total credits/debits, interest credited, and the closing balance (31st March).
2. **Errors:** Subscribers should satisfy themselves as to the correctness of the annual statement. Errors should be brought to the notice of the Accounts Officer within **three months** from the date of receipt.
3. **Missing Credits:** It is **mandatory** for all offices maintaining GPF Accounts to intimate the particulars of missing credits **once every financial year**.
4. **Pre-Retirement Statements:** A complete statement of all credits, debits, and interest since the inception of the GPF account shall be provided to every subscriber:
    - Mandatorily **two years** before his date of retirement.
    - Thereafter **one year** before the date of retirement.
5. **Grievance Redressal:** Any subscriber can make a representation on such a statement, and the office maintaining the GPF account shall resolve the grievance within **60 days** from the receipt of such a grievance.

⚡ Quick Reference Guide: GPF (Central Services) Rules, 1960

At-a-Glance: Limits & Monetary Ceilings (Updated 2025-26)

Category	Rule	Prescribed Limit / Condition
Eligibility	Rule 4	Permanent/Temporary Govt. Servants appointed **before 01.01.2004**. (Post-2004 employees covered under NPS).
Subscription Rate	Rule 8	**Minimum:** 6% of Emoluments. **Maximum:** 100% of Emoluments.
Statutory Ceiling	Rule 8	Max subscription limited to **Rs. 5 Lakhs** per Financial Year (Tax-free limit).
Interest Rate	Rule 11	**7.1%** (Notified Quarterly. Current for Q4 2024-25).
Temporary Advance	Rule 12	**Max Amount:** 12 Months' Pay or 3/4th of Balance (whichever is less). **Recovery:** Max **60 Installments**.
Part-Final Withdrawal	Rule 15	**Eligibility:** After **10 Years** of service OR within **10 Years** of retirement. **General Limit:** 12 Months' Pay or 3/4th of Balance. **Housing/Illness:** Up to **90%** of Balance.
Pre-Retirement Withdrawal	Rule 15(7)	**90%** of Balance allowed within **2 Years** of retirement (No reason required).
Death Relief (DLIS)	Rule 33-B	**Max Rs. 60,000/-**. (Avg balance of last 3 years checked against limits).

 Key Takeaways & Statutory Nuances

1. "Family" Definition (Rule 2)

- **Crucial Distinction:** For a **male** subscriber, "parents" are family. For a **female** subscriber, "parents" are also family (distinct from some other rules where dependency matters).
- **Excluded:** Adult brothers, married sisters, and major sons are **not** considered "family" for nomination purposes unless no other family exists.

2. Subscription Dynamics (Rule 8 & 10)

- **During Suspension:** No subscription.
- **During Leave:** Optional (if on half-pay leave).
- **Last 3 Months:** Subscription must be **compulsorily discontinued** 3 months prior to superannuation.
- **Flexibility:** You can **reduce** subscription **once** a year and **enhance** it **twice** a year.

3. The "90% Withdrawal" Clause

While the standard withdrawal limit is 3/4th of the balance, the rules grant a higher ceiling of **90%** specifically for:

- **Housing:** Buying, building, or renovating (Rule 15).
- **Illness:** Major medical treatment for self/family (Rule 15).
- **Pre-Retirement:** Any purpose within 24 months of retirement (Rule 15(7)).

4. Deposit-Linked Insurance (DLIS)

- **The "3-Year" Test:** To qualify for the additional Rs. 60,000 death benefit, the subscriber's balance must not have fallen below the prescribed limits (e.g., **Rs. 25,000** for Level 8+) at *any time* during the **3 years** preceding death.
- **Service Requirement:** Minimum **5 years** of service is mandatory for DLIS eligibility.

5. Interest Calculation on Delay

- If salary is delayed due to administrative negligence, the subscription is deemed recovered on the **1st of the month** it was due, ensuring the subscriber does not lose interest.